# ECON 101: Macroeconomics
# MCQs for Final Exam Review

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**1.** Scarcity exists because:

(A) Markets always fail.
(B) Resources are limited and wants are unlimited.
(C) There are unlimited resources and unlimited wants.
(D) Prices never adjust.

**2.** A positive economic statement is:

(A) One that expresses a value judgment.
(B) One that cannot be tested.
(C) One that can be tested and verified with data.
(D) One that must always be true.

**3.** The opportunity cost of a choice is:

(A) The sum of all alternatives forgone.
(B) The money cost only.
(C) The highest-valued alternative given up.
(D) The lowest-valued alternative given up.

**4.** Comparative advantage occurs when a producer:

(A) Uses more labour than capital.
(B) Produces more with the same inputs.
(C) Has the lowest opportunity cost in producing a good.
(D) Has more resources than competitors.

**5.** The PPF shifts outward when:

(A) Unemployment increases.
(B) Technology improves.
(C) Prices fall.
(D) A country imports more goods.

**6.** Markets are efficient because:

(A) Government sets all prices.
(B) Buyers and sellers respond to incentives.
(C) Scarcity is eliminated.
(D) All goods are public goods.

**7.** An increase in the price of a substitute good will:

(A) Reduce demand for the original good.
(B) Increase demand for the original good.
(C) Reduce supply.
(D) Increase supply.

**8.** At equilibrium:

(A) There are shortages.
(B) Quantity demanded equals quantity supplied.
(C) Prices rise indefinitely.
(D) There are surpluses.

**9.** A decrease in supply with no change in demand will:

(A) Lower the equilibrium price.
(B) Raise the equilibrium price.
(C) Leave price unchanged.
(D) Increase the equilibrium quantity.

**10.** A price ceiling below equilibrium causes:

(A) A surplus.
(B) A shortage.
(C) No effect.
(D) Deadweight gain.

**11.** Deadweight loss is:

(A) Lost revenue for producers.
(B) A reduction in economic efficiency.
(C) An increase in government revenue.
(D) Profit from market power.

**12.** A tax on sellers:

(A) Shifts supply left.
(B) Shifts demand right.
(C) Has no effect.
(D) Creates a price floor.

**13.** GDP measures:

(A) Total welfare.
(B) Total market value of final goods and services.
(C) Intermediate goods only.
(D) Unpaid household work.

**14.** Nominal GDP differs from real GDP because nominal GDP:

(A) Uses base-year prices.
(B) Uses current prices.
(C) Excludes services.
(D) Adjusts for inflation.

**15.** If real GDP increases, then:

(A) Production has increased.
(B) Prices have increased.
(C) Inflation has increased.
(D) Imports have decreased.

**16.** Long-run growth is driven mainly by:

(A) Money supply growth.
(B) Technological change.
(C) Population growth alone.
(D) Budget deficits.

**17.** Labour productivity rises when:

(A) Capital per worker increases.
(B) Wages fall.
(C) Unemployment increases.
(D) Trade decreases.

**18.** Convergence occurs when:

(A) Corruption increases.
(B) Poor countries adopt strong institutions and policies.
(C) Savings rates fall.
(D) Investment decreases.

**19.** In a closed economy:

(A) $S = I$
(B) $S = G$
(C) $I = NX$
(D) $I = C$

**20.** The interest rate is determined by:

(A) Money supply only.
(B) Supply and demand for loanable funds.
(C) The government.
(D) Trade balance.

**21.** A government budget deficit:

(A) Shifts supply of loanable funds right.
(B) Lowers interest rates.
(C) Shifts supply of loanable funds left.
(D) Increases private saving only.

**22.** The MPC is:

(A) $\Delta C/\Delta Y$
(B) $\Delta S/\Delta Y$
(C) $C - Y$
(D) $Y/C$

**23.** The simple multiplier equals:

(A) $\frac{1}{1-MPC}$

(B) $1 - MPC$

(C) $MPC - 1$

(D) $1/MPC$

**24.** A fall in autonomous consumption:

(A) Shifts AE upward.

(B) Shifts AE downward.

(C) Raises MPC.

(D) Raises equilibrium GDP.

**25.** AD slopes downward because of:

(A) Wealth, interest rate, and international trade effects.

(B) Money illusion.

(C) Sticky wages.

(D) Rising productivity.

**26.** LRAS shifts right when:

(A) Prices rise.

(B) Potential GDP increases.

(C) Money supply rises.

(D) AD shifts right.

**27.** A negative supply shock:

(A) Shifts SRAS left.

(B) Shifts AD right.

(C) Lowers price level.

(D) Shifts LRAS right.

**28.** Money serves as:

(A) A medium of exchange.

(B) A public good.

(C) A capital good.

(D) A consumption good.

**29.** The simple deposit multiplier is:

(A) $r_d$
(B) $1 - r_d$
(C) $\frac{1}{r_d}$
(D) $r_d - 1$

**30.** The Bank of Canada's main policy rate is:

(A) The Bank Rate
(B) The deposit rate
(C) The target overnight rate
(D) The prime rate

**31.** Contractionary monetary policy occurs when the Bank of Canada:

(A) Lowers the overnight rate
(B) Raises the overnight rate
(C) Buys government bonds
(D) Depreciates the currency

**32.** Higher interest rates tend to:

(A) Increase investment
(B) Reduce investment
(C) Increase net exports
(D) Raise inflation

**33.** An appreciation of the Canadian dollar:

(A) Increases net exports
(B) Reduces net exports
(C) Raises exports
(D) Has no effect on trade

**34.** In the long run, inflation is caused by:

(A) Productivity growth
(B) Money supply growing faster than output
(C) Tax increases
(D) Trade deficits

**35.** Unexpected inflation harms:

(A) Borrowers

(B) Lenders

(C) Firms holding nominal assets

(D) Both (B) and (C)

**36.** The quantity equation is:

(A) $MV = PY$

(B) $M = PYV$

(C) $P = MVY$

(D) $MV = Y$

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*End of Exam MCQs*